Hana Financial Group (086790 KS)

Earnings stability and shareholder return

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BUY (M)

Target price	W175,000 (M)
Previous target price	W175,000
Current price (Oct 27)	W113,300
Upside potential	54%

Market cap (Wbn)	30,701
Shares outstanding	270,969,910
Avg daily T/O (2M, Wbn)	94
Avg daily volume (2M, shrs)	723,362
52-week high/low (won)	140,800 / 85,500
Foreign ownership (%)	68.62%
Dividend yield (%)	6.40%
Major shareholders	NPS

Stock performance

(%)	1M	3M	12M
Absolute	(14.9)	(13.2)	29.0
Relative	6.9	3.9	(7.5)
Abs (US$)	(12.6)	(3.8)	39.6

3Q26 net profit in line with consensus

Hana Financial Group posted 3Q26 net profit attributable to controlling interest of W1.22tn, in line with consensus. One-off factors included W186.8bn in forex translation gains and W35.4bn in provisions for completion-guarantee land trusts. Interest income remained flat QoQ when considering the effect of account reclassification at its life insurance subsidiary (+W290bn in 2Q26, -W85bn in 3Q26), while won-denominated loans climbed 1.7% QoQ and bank NIM fell 4bp QoQ. Excluding the account reclassification effect, non-interest income contracted 13.8% QoQ. This is attributable to lower wealth management commission income due to the stock market pullback. Credit cost fell QoQ on high base effect from W74.9bn in provisions related to JoongAng Group in 2Q26. Cumulative reserves for fines related to equity-linked securities (ELS) amounted to W126bn, with no details yet finalized regarding potential reversals.

CET-1 ratio at 13.45%, up 18bp QoQ

Hana Financial Group's 3Q26 CET-1 ratio rose by 18bp QoQ to 13.45%, reflecting +40bp from net profit, +46bp from risk-weighted assets (RWA), -20bp from dividends and treasury shares, and -48bp from other factors. Although won depreciation (+17bp) and eased operational risk (+15bp) added +32bp compared to end-2Q26, a decline in other comprehensive income (OCI) due to rising interest rates likely resulted in weaker-than-expected CET-1 ratio.

Announces W250bn share buyback

At its earnings release, the firm announced a W250bn share buyback scheduled to end on Jan 25, 2027. As such, total shareholder return ratio for 2026 is estimated at 49.7%, while total shareholder return yield will likely come to 7.3% (dividend yield 4.1%, share buyback yield 3.2%).

Maintain BUY and target price of W175,000

We maintain BUY and our target price of W175,000 on Hana Financial Group.

Quarterly earnings

(Wbn)	3Q26P	% YoY	% QoQ	Consens	vs consens (%)
Net op revenue	3,227	10.6	-3.2	3,230	-0.1
SG&A expense	1,214	6.0	-5.9	1,227	-1.0
Provisions	381	30.3	-14.7	384	-0.8
OP	1,631	10.4	2.3	1,618	0.8
Consolidated NP	1,261	11.0	4.5	1,225	2.9
NP, CI	1,221	7.9	2.4	1,216.0	0.4

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Net op revenue	10,687	11,377	12,519	13,337
OP	4,855	5,351	5,950	6,444
NP, CI	3,739	4,003	4,397	4,659
P/E (x)	4.3	6.4	7.0	6.4
P/B (x)	0.41	0.63	0.73	0.67
ROE (%)	9.1	9.2	9.7	9.9
ROA (%)	0.61	0.61	0.6	0.6

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

3Q26 earnings (consolidated)

(Wbn, %)	3Q26P	Consensus	vs consensus	YoY	QoQ	3Q25	2Q26
Net op revenue	3,227	3,230	-0.1	10.6	-3.2	2,917	3,332
OP	1,631	1,618	0.8	10.4	2.3	1,478	1,594
Net profit, CI	1,221.4	1,216.0	0.4	7.9	2.4	1,132	1,193

Note: CI = controlling interest
Source: company data, Yuanta Securities

Earnings forecast (consolidated)

(Wbn, %, %p)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26P	4Q26E	2025	2026E
Net op revenue	2,935	2,954	2,917	2,570	3,089	3,332	3,227	2,871	11,377	12,519
Net interest income	2,273	2,216	2,291	2,383	2,505	2,303	2,675	2,576	9,163	10,059
Non-interest income	663	738	626	187	584	1,029	552	295	2,213	2,460
Commission income	522	559	570	576	668	820	655	645	2,226	2,788
Other non-interest income	141	179	56	-389	-84	210	-103	-350	-13	-328
SG&A expense	1,143	1,124	1,146	1,274	1,198	1,291	1,214	1,382	4,688	5,085
Pre-provisioning OP	1,792	1,830	1,771	1,296	1,891	2,042	2,013	1,489	6,689	7,434
Provisioning	304	336	293	406	237	447	381	418	1,338	1,484
OP	1,489	1,493	1,478	890	1,654	1,594	1,631	1,071	5,351	5,950
Non-operating profit	47	53	53	-45	57	67	56	50	108	231
Pre-tax profit	1,535	1,547	1,531	846	1,711	1,662	1,687	1,121	5,459	6,181
Consolidated net profit	1,138	1,185	1,136	578	1,231	1,206	1,261	813	4,037	4,510
Consol. net profit (CI)	1,128	1,173	1,132	569	1,210	1,193	1,221	773.0	4,003	4,397
Won-denominated loan growth (bank)	0.5	2.1	2.6	0.0	0.9	2.0	1.7	-0.2	5.2	4.5
Portion of non-interest income	22.6	25.0	21.5	7.3	18.9	30.9	17.1	10.3	19.5	19.7
NIM (bank)	1.48	1.48	1.50	1.52	1.58	1.61	1.57	1.58	1.49	1.59
CIR	38.9	38.1	39.3	49.6	38.8	38.7	37.6	48.1	41.2	40.6
CCR	0.29	0.32	0.27	0.37	0.21	0.39	0.33	0.37	0.30	0.33
NPL ratio	0.70	0.75	0.73	0.72	0.80	0.93	0.93	0.92	0.7	0.9
NPL coverage ratio	115.2	106.2	105.0	109.8	95.6	86.4	90.2	90.7	109.8	90.7
CET-1	13.23	13.39	13.33	13.37	13.23	13.27	13.45	13.37	13.37	13.37
ROE	10.5	10.8	10.4	5.1	10.8	10.3	10.6	6.7	9.2	9.7
ROA	0.7	0.7	0.7	0.3	0.7	0.7	0.7	0.4	0.6	0.6
Equity	43,466	43,195	43,936	44,580	45,361	46,877	45,695	46,140	44,580	46,140
Asset	644,359	642,043	659,078	674,591	685,368	713,463	705,805	707,448	674,591	707,448

Note: CI = controlling interest
Source: company data, Yuanta Securities

Valuation table

	Formula	Unit	Old (Jul 27, 2026)	New (Oct 28, 2026)	Note
Cost of equity (COE)	(C=a+(b*c)+d)	%	10.2	10.2	
Risk-free rate	(a)	%	3.3	3.4	1-year monetary stabilization bond's recent 3-mo avg yield
Risk premium	(b)	%	5.1	5.1	
Beta	(c)		0.9	0.9	104-week adjusted beta
Ri	(d)	%	2.5	2.5	Reflected additionally given past COE level
Average ROE	(B)	%	9.6	9.8	2026-2028 average ROE
Permanent growth	(D)	%	4.6	4.5	Min (ROE x retention ratio, 30-yr KTB's recent 3-mo avg yield)
Target P/B	(A=(B-D)/(C-D))	x	0.89	0.92	
12mo-fwd BPS	(E)	won	196,782.5	189,924.8	
Target price	(A*E)	won	**175,000**	**175,000**	
Current price (Oct 27)		won		113,300	
Upside potential		%		54.5	

Source: company data, Yuanta Securities

Earnings forecast revision

(Wbn, %)	Old		New		Difference	
	2026E	2027E	2026E	2027E	2026E	2027E
Net op revenue	12,601	13,209	12,519	13,337	-0.6	1.0
OP	6,044	6,359	5,950	6,444	-1.6	1.3
Net profit, CI	4,476	4,702	4,397	4,659	-1.8	-0.9

Note: CI = controlling interest
Source: Yuanta Securities

Hana Financial Group (086790 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E	2028E
Net interest income	8,761	9,163	10,059	10,648	10,884
Interest income	24,117	22,460	23,411	24,632	25,273
Interest expense	15,356	13,296	13,460	13,984	14,389
Non-interest income	1,926	2,213	2,460	2,689	2,941
Net commission	2,070	2,226	2,788	2,789	2,901
Other non-interest	-144	-13	-328	-100	40
Net operating revenue	10,687	11,377	12,519	13,337	13,825
Selling and admin expense	4,530	4,688	5,085	5,518	5,741
Pre-provision operating profit	6,157	6,689	7,434	7,820	8,084
Provisions	1,302	1,338	1,484	1,376	1,404
Operating profit	4,855	5,351	5,950	6,444	6,681
Non-operating profit	197	108	231	200	200
Pre-tax profit	5,052	5,459	6,181	6,644	6,881
Income tax	1,284	1,422	1,670	1,827	1,892
Tax rate	25	26	27	28	28
Consolidated net profit	3,769	4,037	4,510	4,817	4,988
Controlling interest	3,739	4,003	4,397	4,659	4,830
Non-controlling interest	30	34	113	158	158

Statement of financial position (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E	2028E
Cash & cash equivalents	40,405	43,340	48,716	50,373	52,538
Securities	152,823	154,498	167,045	172,728	180,154
Loans	403,384	434,223	427,499	446,913	466,808
Tangible and intangible assets	9,906	10,218	11,567	11,505	11,501
Other	31,329	32,312	52,622	49,997	51,961
Assets	637,848	674,591	707,448	731,517	762,963
Deposits	390,209	409,385	403,549	415,813	433,579
Borrowings	111,023	123,269	136,093	140,229	146,220
Other	93,039	96,291	119,486	124,912	130,473
Liabilities	594,271	628,945	659,127	680,954	710,271
Equity, controlling interest	42,701	44,580	46,140	48,382	50,511
Capital stock	1,501	1,501	1,501	1,501	1,501
Hybrid bond	4,140	4,270	4,120	4,120	4,120
Capital surplus	10,579	10,576	3,174	3,174	3,174
Retained earnings	27,640	29,691	39,450	41,772	43,981
Other comprehensive income	-1,159	-1,458	-2,106	-2,186	-2,266
Equity, non-controlling interest	876	1,066	2,181	2,181	2,181
Equities	43,577	45,646	48,321	50,563	52,692

Growth (%)

FY ends Dec	2024A	2025A	2026E	2027E	2028E
NIM (bank)	1.47	1.49	1.59	1.59	1.56
ROE	9.1	9.2	9.7	9.9	9.8
ROA	0.6	0.6	0.6	0.6	0.6
CIR	42.4	41.2	40.6	41.4	41.5
Asset growth	7.8	5.8	4.9	3.4	4.3
Loan growth	5.8	7.6	-1.5	4.5	4.5
Net profit growth	9.3	7.1	9.9	5.9	3.7

Valuations (won, x, %)

FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS	13,291	14,795	16,610	18,288	19,736
BPS	137,082	148,995	158,718	173,752	189,550
DPS	3,600	4,105	4,635	5,250	6,035
P/E	4.3	6.4	7.0	6.4	5.9
P/B	0.4	0.6	0.7	0.7	0.6
Dividend payout ratio	27.2	28.0	28.1	29.3	31.2
Dividend yield	6.3	4.4	4.0	4.5	5.2

Adequacy indicators (%)

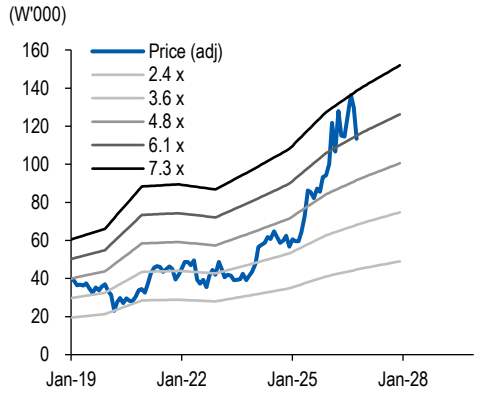
FY ends Dec	2024A	2025A	2026E	2027E	2028E
BIS capital adequacy ratio	15.6	15.6	15.3	15.3	15.2
Tier 1 capital ratio	14.8	14.9	14.8	14.7	14.7
CET1 capital ratio	13.2	13.4	13.4	13.4	13.4

Asset quality indicators (x, %)

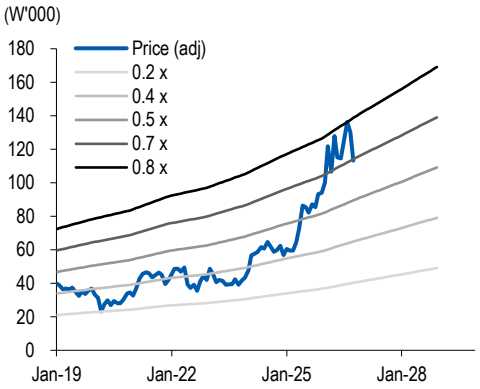
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Substandard and below ratio	0.6	0.7	0.9	0.9	0.8
NPL coverage ratio	128.7	109.8	90.7	93.7	97.1
CCR	0.3	0.3	0.33	0.30	0.29

Note: CI = controlling interest
EPS, BPS, P/E and P/B are based on controlling interest.
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price.
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior.
Source: Company data, Yuanta Securities

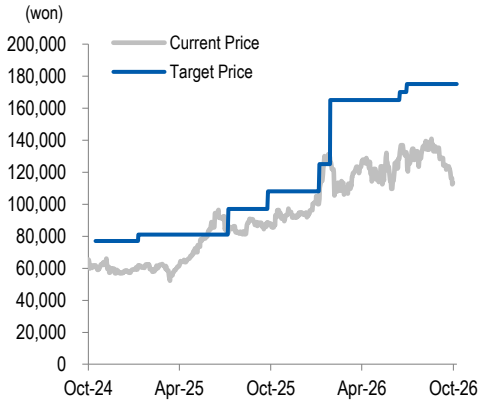
P/E band chart



P/B band chart



Hana Financial Group (086790 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/28	BUY	175,000	1 yr		
2026/07/27	BUY	175,000	1 yr		
2026/07/13	BUY	170,000	1 yr	-21.46	-19.53
2026/02/24	BUY	165,000	1 yr	-28.39	-20.00
2026/02/02	BUY	125,000	1 yr	-2.50	5.04
2025/10/22	BUY	108,000	1 yr	-13.26	-2.78
2025/08/04	BUY	97,000	1 yr	-11.64	-6.29
2025/02/05	BUY	81,000	1 yr	-13.45	19.14
2024/11/11	BUY	77,000	1 yr	-22.64	-14.29

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 28, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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I/We, as the research analyst/analysts who prepared this research report, do hereby certify that the views expressed in this report accurately reflect my/our personal views about the subject securities discussed in this report.

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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